Enhanced Index Fund An index fund that is designed not only to generally track an index but also to outperform that index through the use of leverage, futures, trading strategies, capital gains management, and other methods.

Equivalent Taxable Yield The yield needed from a taxable bond to give the same after-tax yield as a tax-exempt issue.

Exchange Privilege A shareholder's ability to move money from one mutual fund to another within the same fund family, often without additional charge.

Exchange-Traded Fund (ETF) A mutual fund that trades like a stock on a stock exchange. The fund's approximate NAV is calculated every 15 seconds by the exchange it trades on. ETF shares trade close to the calculated price because of an arbitrage process that involves a third party called an *authorized participant*.

Exchange-Traded Note An unsecured debt security issued by a bank or finance company that acts like an exchange-traded fund in that it tracks an index and also has the credit risk of the issuer.

Ex-dividend Date The date when a distribution of dividends and/or capital gains is deducted from a mutual fund's assets or set aside for payment to shareholders. On the ex-dividend date, the fund's share price drops by the amount of the distribution (plus or minus any market activity). Also known as the *reinvestment date*.

Expense Ratio The percentage of a portfolio's average net assets used to pay its annual expenses. The expense ratio, which includes management fees, administrative fees, and any 12b-1 fees, directly reduces returns to investors.

Federal Reserve The central bank that regulates the supply of money and credit throughout the United States. The Fed's seven-member board of governors, appointed by the president, has significant influence on U.S. monetary and economic policy.

Fee-Only Advisor An arrangement in which a financial advisor charges a set hourly rate or an agreed-upon percentage of assets under management for a financial plan.